

Bubbles form when the momentum of short-term returns attracts enough money that the makeup of investors shifts from mostly long term to mostly short term.

That process feeds on itself. As traders push up short-term returns, they attract even more traders. Before long—and it often doesn't take long—the dominant market price-setters with the most authority are those with shorter time horizons.

Bubbles aren't so much about valuations rising. That's just a symptom of something else: time horizons shrinking as more short-term traders enter the playing field.

It's common to say the dot-com bubble was a time of irrational optimism about the future. But one of the most common headlines of that era was announcing record trading volume, which is what happens when investors are buying and selling in a *single day*. Investors—particularly the ones setting prices—were not thinking about the next 20 years. The average mutual fund had 120% annual turnover in 1999, meaning they were, at most, thinking about the next ten months. So were the individual investors who bought those mutual funds. Maggie Mahar wrote in her book *Bull!*:

By the mid-nineties, the press had replaced annual scorecards with reports that appeared every three months. The change spurred investors to chase performance, rushing to buy the funds at the top of the charts, just when they were most expensive.

This was the era of day trading, short-term option contracts, and up-to-the minute market commentary. It's not the kind of thing you'd associate with long-term views.

The same thing happened during the housing bubble of the mid-2000s.

It's hard to justify paying \$700,000 for a two-bedroom Florida tract home to raise your family in for the next 10 years. But it makes perfect sense if you plan on flipping the home in a few months into a market with rising prices to make a quick profit. Which is exactly what many people were doing during the bubble.

Data from Attom, a company that tracks real estate transactions, shows the number of houses in America that sold more than once in a 12-month period—they were flipped—rose fivefold during the bubble, from 20,000 in